

Palantir Technologies Inc.

PLTR NYSE

Hold \$172.15 ▼ 0.24% 12M Price Target \$185.00 52-Week Range \$106.37 – \$207.52

Market Cap \$413.68B

PLTR: Consolidating Near Highs as AI Spending Debate Heats Up

WHAT HAPPENED

- Quiet day — stock down a hair (-0.24%) on notably light volume (9.5M vs 30M the prior two days). That volume drop after a big two-day run tells me buyers are catching their breath, not fleeing. UBS reset its price target (direction not specified in the headline, but "resets" usually means bumping it to catch up to reality), and a 24/7 Wall St. analyst is calling for 50% more upside.
- Palantir's CTO went public attacking the "AI safety" crowd as technocrats trying to stage a "coup" over AI rules. That's not random noise — Palantir is positioning itself politically against heavy-handed AI regulation, which matters because the regulatory posture in DC directly shapes their addressable market.

WHY IT MATTERS

The setup here is a stock that's already up huge YTD and now sitting at 65% of its 52-week range, digesting gains rather than breaking out. The CTO's public swipe at AI safety advocates is a tell — Palantir smells a regulatory fight coming and wants to shape it early, because any framework that forces "approved" AI models or third-party safety audits would slow their enterprise deployment cycle. Meanwhile, insider selling is clustering (bearish tell — when multiple insiders sell within weeks of each other, they usually know the near-term is priced in) while institutions keep accumulating (Blackrock + Vanguard + State Street own 20%+). The read: smart short-term money is trimming, long-term money is holding — which usually means choppy sideways action until the next earnings catalyst.

POLICY & POLITICAL WATCH

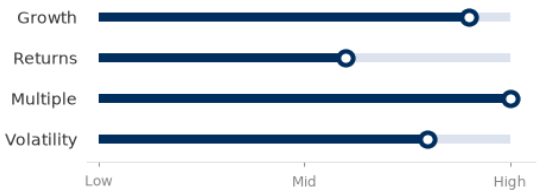
The big one to watch is the FY2027 defense appropriations bill and any successor to the executive order on federal AI adoption — Palantir's government segment (roughly half of revenue) lives and dies on Pentagon and civilian agency AI budgets, and both parties are still competitive on defense tech spending. The AI safety debate the CTO is pushing back on matters too: if Congress or the White House moves toward an EU-style AI Act with pre-deployment approvals, that's a headwind for fast-moving deployments like Palantir's AIP platform. On the flip side, continued China tech decoupling is pure tailwind — every export control on Chinese AI pushes allied governments toward US vendors, and Palantir is the default choice for classified workloads.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$172.15
12M Price Target	\$185.00
Upside / (Downside)	+7.5%
Market Cap	\$413.68B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.68
FY2027E EPS	\$0.92
Fwd P/E	253.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$185.00	\$172.00	\$158.00
6 Months	\$215.00	\$180.00	\$140.00
1 Year	\$240.00	\$185.00	\$125.00
2 Years	\$300.00	\$210.00	\$110.00
5 Years	\$450.00	\$275.00	\$90.00
10 Years	\$700.00	\$400.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.81% today) is bouncing after a rough 5-day stretch — the Yahoo headline about "death of software greatly overstated" hints at rotation back into software after months of chip stocks hogging the AI spotlight. Industrials strong too, which correlates with defense spending optimism.

COOLING OFF: Utilities (-3.2% over 5 days) getting hit as rates back up — classic risk-on tape where investors don't want bond proxies.

ROTATION WATCH: Money looks like it's rotating from chips (NVDA, AMD have been leaders) into software names that monetize AI — this is exactly PLTR's lane, which is why the stock is holding near highs even on a red-ish day.

RELATED PLAY: If federal AI spending is the theme, the picks-and-shovels play is cloud infrastructure (MSFT, AMZN) and cybersecurity names cleared for classified work (CRWD, S) — Palantir's contracts drag those vendors along.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Winning on the "software eats AI" rotation — Azure AI revenue growth is the tape everyone's watching.
- CRWD (CrowdStrike): Riding the same federal cybersecurity tailwind as PLTR — any AI expansion needs security wrapped around it.

PLTR CONTEXT: PLTR is leading its niche (defense AI) but trailing megacap software today on a relative basis — that tells me it's in "digestion" mode after a big run, not broken. As long as it holds \$165, the uptrend is intact.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business and the policy tailwinds, but the valuation makes me cautious about chasing here.

POSITION SIZE: 2-3% of portfolio — the story is real but the multiple means a single bad quarter can cut this 30%, so size for that reality.

ENTRY POINTS: I'd wait for a pullback to \$150-160 (about 10% down) to add — the stock has a history of giving those pullbacks on any macro scare, and buying scared beats buying strong.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q3 earnings (early November) and clarity on FY2027 defense appropriations.

WHEN TO BAIL: If revenue growth drops below 30% year-over-year, if they lose a major government contract, or if the stock breaks below \$140 on volume — that would signal the multiple is finally re-rating lower.

HEDGING: Simplest hedge is buying a put option 10% below where you bought — think of it as insurance where you pay a small premium to cap your downside. Alternatively, pair this with a short in an even more expensive AI name so you profit if the whole sector rerates.